

Summary of - Finkelstein, Poterba (2014)

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Broad Research Question

At a high level, this paper seeks to identify unused observables and their impact on insurance pricing. That is, what are observable characteristics of purchasers which are not taken into account during pricing decisions by insurance firms?

Specific Research Question

Using residential location as an unused characteristic, is there evidence that pricing policy in the annuity market is impacted by asymmetric information?

Why Should Policymakers Care?

Policymakers should care about this question because if insurance firms are not using all available information to set prices, then they may be mispricing risk. This can lead to adverse selection, where high-risk individuals are more likely to purchase insurance, leading to higher costs for insurers and potentially higher premiums for all consumers. By identifying these unused observables, policymakers can encourage more efficient pricing strategies that better reflect the true risk of individuals, ultimately leading to a more stable and fair insurance market.

Why Should Economists Care?

Economists should care about this question because it touches on fundamental concepts of market efficiency, information asymmetry, and consumer behavior. Understanding how unused observables impact insurance pricing can provide insights into how markets function when all relevant information is not utilized. This can help to inform market behavior and differences across different types of insurance products.

What Did We Learn?

We learned that there is credible evidence that socioeconomic status is a key source of mortality information which is not priced by the insurance companies. Further, we learn about testing for these unobservables and their importance to actual inference.